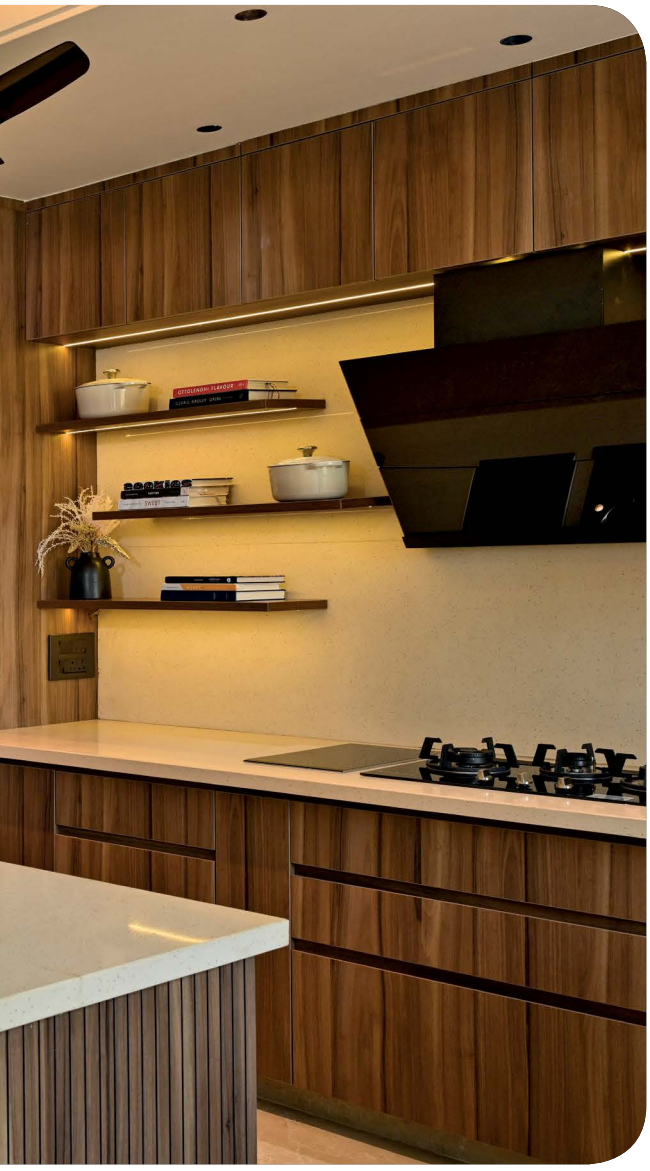


bigger share in the Rs 20 lakh-plus category as well, with the recent launch of its MPV Invicto. "Traditionally, people looked at a three-row SUV and a three-row MPV as separate segments. Looking at data, we realised that this is actually one segment," Shashank Srivastava, senior executive officer, marketing and sales, Maruti Suzuki, said in a media interview. "We saw that this market has actually grown very fast." To drive the sales of its MPV, the company is focusing more on individual and private owners than fleet owners. "The target will be 35-45-year-old young couples with a high median household income," he said. The company's SUV Grand Vitara, which was launched in September 2022 and whose top variant costs Rs 20 lakh (ex-showroom), achieved a 120,000-unit sales milestone on its first anniversary, and helped the company top the SUV segment with a market share of over 20 per cent. To cater to buyers who want to go in for better-technology products and trendy designs, Tata Motors launched new versions of its Safari and Harrier SUVs in October last year, priced at Rs 16.19 lakh and Rs 15.49 lakh, respectively. Features in these cars include seven airbags with six as standard across models, a 31.24 cm HARMAN touchscreen infotainment system and a 26.03 cm configurable instrument cluster with navigation display, among others. The company is also reportedly planning to develop petrol engines for these SUVs.

When it comes to two-wheelers, continued distress in the agrarian economy made the recovery of smaller-engine two-wheelers uncertain, but sales in the premium category—bikes above 150 cc—bucked the slowdown. Growth in FY23 was in strong double digits and accounted for 18 per cent of the total two-wheeler sales that year, compared to 14 per cent five years ago (FY18), according to media reports citing SIAM figures. Sales of entry-level bikes (76-100 cc) and commuter bikes (110-150 cc), on the other hand, saw a noticeable fall in this period.

FMCG: VALUE-ADDED GOODIES

The Indian consumer is becoming increasingly discerning about what she is using, be it personal care products or food and nutrition items. Expanding her array of choices has been the arrival of online shopping and delivery, which intensified during the pandemic years, as well as the broader movement towards a more conscious living.

Fifty-five-year-old Uma Asher, a communications consultant with World Research Institute (WRI) India, has for the past 4-5 years been buying organic staples and personal care products from the Coimbatore-based brand Bio Basics, a business built on the ethos of organic living, fair trade and preservation of biodiversity. "To me, it is a no-brainer, as I feel it is not just about my personal health but also the wellbeing of the living, breathing organism that is Planet Earth and its other residents," she says. She doesn't mind paying extra for her choices, especially as hers is a single-member household.

And thereby hangs another trend. According to a 2022 report, 'A Nuclear Explosion', by market research company Kantar's Worldpanel division, the rise in nuclear families has led to an increase in household spend on FMCG products. Such families, who now account for almost 50 per cent of Indian households from 37 per cent in 2008, do not hesitate to pay extra for convenience and experience. In fact, their average spend on FMCG products at Rs 15,200 surpasses that of seven-member joint families who spend Rs 15,100 a month on FMCG products (see *Liberal Spenders*). Nuclear families also tend to spend across categories, spending on average on 21 FMCG categories compared to 20 in joint families.

And neither inflation nor the pandemic seems to have dimmed the spending spirit, as household spending grew 8 per cent year on year, reaching an average of Rs 17,792, in 2023. Average spending has grown by Rs 3,403 since the